

3. **Rental Housing Impact Fund**

Description of the Type of Fee – CGC Section 66006(b)(1)(A):

On December 11, 2012, Council adopted Resolution No. 17748 allowing for an RHI Fee to be imposed on all new market-rate rental housing developments effective February 9, 2013. With Council approval, a developer may pay the fee or choose an equivalent alternative to the fee that may include construction of affordable housing units, dedication of land, or other equivalent options. The RHI fees and any investment earnings shall be used for increasing and improving the supply of moderate- to very low-income rental housing.

On February 13, 2018, Council adopted Resolution No. 18196, which rescinded the RHI Fee effective April 28, 2018. State legislation, AB 1505, restored the ability for cities to implement inclusionary housing for rentals in response to *Palmer/Sixth Street Properties, L.P. v. City of Los Angeles*, which had caused cities, including Mountain View, to suspend their rental inclusionary housing programs. AB 1505 went into effect January 1, 2018, and the City resumed its inclusionary housing program on rentals. As the fee is not due until occupancy of the project, and to ensure collection of the RHI fee on projects approved or project applications deemed complete before April 28, 2018, the City reinstated the fee for these projects on June 19, 2018, with the adoption of Resolution No. 18922. All such projects have paid the RHI fee, and the RHI fee was eliminated in Fiscal Year 2021-22 as of August 22, 2021. The City will continue to report the RHI fees annually until they are fully spent.

Amount of Fee – CGC Section 66006(b)(1)(B):

For Fiscal Year 2020-21, the fee was \$19.82 per net new habitable square foot and was eliminated in Fiscal Year 2021-22 as of August 22, 2021.

Beginning and Ending Balances, Amount of Fees Collected, and Interest Earned – CGC Section 66006(b)(1)(C and D):

Beginning Balance, July 1, 2020		\$2,227,765
Rental Housing Impact Fees	\$965,993	
Investment Earnings	50,045	
Total Unaudited Revenues		1,016,038
Total Unaudited Expenditures		-0-
Unexpended/ Available Balance, June 30, 2021		<u>\$3,243,803</u>